

2008 STOCK MARKET OUTLOOK, PART II

Executive Summary

Elevated fear and unnerving daily market gyrations are hallmarks of classic bull market corrections. The first quarter delivered them in spades as stocks fell globally and volatility spiked. But we expect stocks to end up materially higher for the balance of 2008 and believe the correct posture is to remain fully invested.

2008 reminds us of 1998. That year stocks temporarily fell about 20%ⁱ while global recession and bear market chatter ran rampant. In typical correction form, however, 1998 markets recovered magnificently to new all-time highs, punishing the bears. We expect a similar aftermath to the current correction.

Much of this quarter's anxiety stemmed from fears of a systemic financial institution failure "domino effect" triggered by a crisis in confidence in Bear Stearns. In our view, the Fed's dramatic and innovative measures to provide liquidity were an appropriate tonic. Between the Fed's efforts and private sources of capital, credit is now very cheap and readily available for large, high-quality borrowers. This is particularly bullish for large cap stocks. By contrast, credit availability has largely evaporated for lower-quality and smaller borrowers, but these comprise a small fraction of aggregate borrowing. This represents a reallocation in credit availability, not a "crunch" as conventional wisdom depicts it. We discuss the quarter's events in further detail in Appendix I.

Many are declaring this the worst economic and financial crisis since the Great Depression. That's bullish. Some simple facts paint a very different picture. Perhaps the US will experience a mild quarterly contraction this year, even this quarter, but on balance we believe both the US and global economies should grow start-to-finish in 2008. Unlike during the Great Depression, central bankers are being extremely accommodative, fiscal policy is stimulative, and regulatory response has been measured and appropriate (at least to date).

Yes, there are problems within specific parts of the economy, but fears have distorted their relative importance. For example, while US home construction activity cratered, it comprises roughly only 4.6% of GDP—not enough to sink the economy.ⁱⁱ And although many believe declining home values will sink consumer spending (70% of the US economy), historically there has been very little linkage between the two. To date, consumer spending and personal income continue to advance. Less noticed are surges in exports (a sign of foreign economic strength), government spending and global infrastructure investment. And freight rates and capacity utilization wouldn't be so strong were the economy as weak as so many envision.

Outside of banks, homebuilders and autos, corporate earnings are holding up nicely and projected to grow in 2008. Long-term interest rates remain benign. Taken together, stocks remain extremely cheap relative to bonds. We think this provides stock prices a significant cushion

against downside economic surprises. We provide further analysis of today's economic environment in Appendix III.

The US presidential election has so far proven exceedingly bizarre and difficult to handicap. Whether Senator Clinton, Obama or McCain should eventually emerge victorious, none in our view has an unassailable advantage, and thus anything could happen. The Democrats have a structural advantage in congressional elections this year and are likely to gain seats in both chambers, but we do not expect them to attain a filibuster-proof majority. A full analysis of US politics and the upcoming presidential and congressional elections is provided in Appendix IV.

We appreciate this period has been exceedingly fatiguing. It is difficult to tune out the drone of dour news and remain disciplined. But 2008 has only just begun, and we fully expect the remaining months will be up-a-lot for stocks.

For our latest market views, please visit www.MarketMinder.com. There we provide our thoughts on daily market action with news stories, columns, and commentary.

Table of Contents

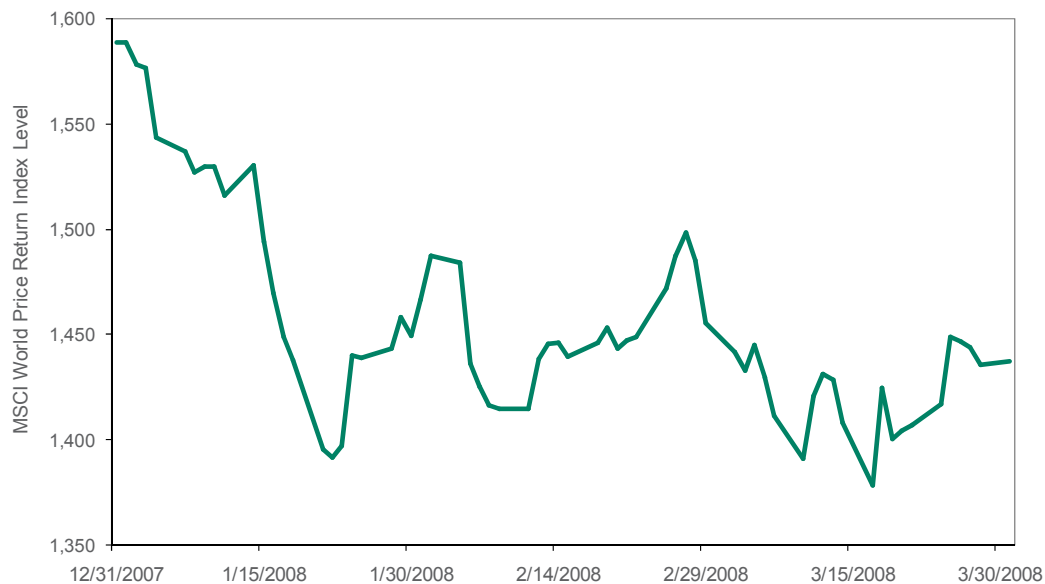
Appendix I: A True (But Severe) Bull Market Correction	4
The Correction and Bear Market Fears	4
A Crisis in Confidence	6
The Fed Innovates	7
Appendix II: A Fundamental Shift	9
Size Matters	9
Interest Rates Favor Big Cap	10
Appendix III: Overblown Worries and Real Risks	13
Recession? Not So Fast	13
Housing's Wealth In-Effect	14
The Real Risks	16
Appendix IV: The 2008 Election	17
The Effects of Political Power Changes	17
The Oddest Election	20
Congressional Elections	23

Appendix I: A True (But Severe) Bull Market Correction

The Correction and Bear Market Fears

Bear market fears persisted throughout the quarter, but in our view today's environment is classically characteristic of a double-bottom bull market correction. Double-bottom corrections are not abnormal. Indeed, the last big bull market correction in 1998 was a double-bottom, as shown in Exhibit 2 (on the next page).

Exhibit 1: MSCI World YTD



Source: Thomson Financial Datastream; as of 3/31/2008

Exhibit 1 shows world stock performance for Q1 2008. Interestingly, world stocks have fared somewhat better than US stocks through the correction, top to bottom, which US-centric investors may miss. And though January's relative low for US stocks was lower than March's low (the reverse was true for world stocks, as shown in Exhibit 1), sentiment in America was more dour at the second bottom—a bullish development in our view since corrections tend to bottom on severely dour sentiment. Further, never in history can we find such widespread contemplation of a bear market and recession just five months after a true bull market peak. But that sentiment is quite normal in a big bull market correction. Normally for many months after a real bull market peak there's widespread complacency. So it would be very unusual if this were a bear market and recession.

We could possibly see a third low yet. Some exogenous event like a major terror attack or a nuclear accident could make stocks fall another notch. But such events are impossible to predict and typically have only a fleeting effect on markets. A true bear market requires both magnitude and duration—a sustained downturn for a long period. We believe this scenario is unlikely now.

We understand these are trying times for investors, but today's strife isn't unique. In our view, today's market is very similar to 1997-1998, as shown in Exhibit 2.

Exhibit 2: MSCI World 1998



Source: Thomson Financial Datastream

In 1997 bad Asian debt roiled global markets, and as 1998 began many feared the “Asian Contagion” would seep globally, taking down stocks and creating a global recession. Additionally, in 1998 investors feared the “Russian ruble crisis”—weak Asian currencies sinking their economy and the world. Later that year, Long-Term Capital Management (LTCM), a highly-leveraged hedge fund, imploded, and fears of a “domino effect” were rampant. Despite these fears, increased volatility, and a big 20% correction, global stocks ended 1998 up 24.8%ⁱⁱⁱ with the largest stocks performing best. Ironically, if you go to Wikipedia and look up “1998 Russian Financial Crisis,” the second sentence wrongly says, “It was exacerbated by the global recession of 1998, which started with the Asian financial crisis in July 1997.” There was, of course, no 1998 recession at all.

Today, it's the “American Contagion”—the US subprime mortgage “mess” in 2007 which increased risk aversion for certain types of debt. Worry has seeped abroad and folks everywhere fret troubled US Financials will poison global institutions, tanking the global economy and stock markets. Similarly, many fear a weak dollar. And like LTCM in 1998, today we have Bear Stearns worries and the same domino-effect fears.

However, as in 1998, we see no evidence of a true global credit crisis. Total corporate lending continues growing as borrowing rates remain benign or are even falling for all but junk-rated firms.

It's important to note Emerging Markets stocks have held up well as a group amid the recent correction. Emerging Markets are highly dependent on global growth. If a true global recession were upon us, Emerging Markets would be suffering disproportionately, but they're not.

A Crisis in Confidence

Poor sentiment was typified this quarter by a crisis in confidence tied to fears of a collapse in credit markets and consequent systemic failures beginning with Bear Stearns. But in our view there is little risk of an impending true systemic failure.

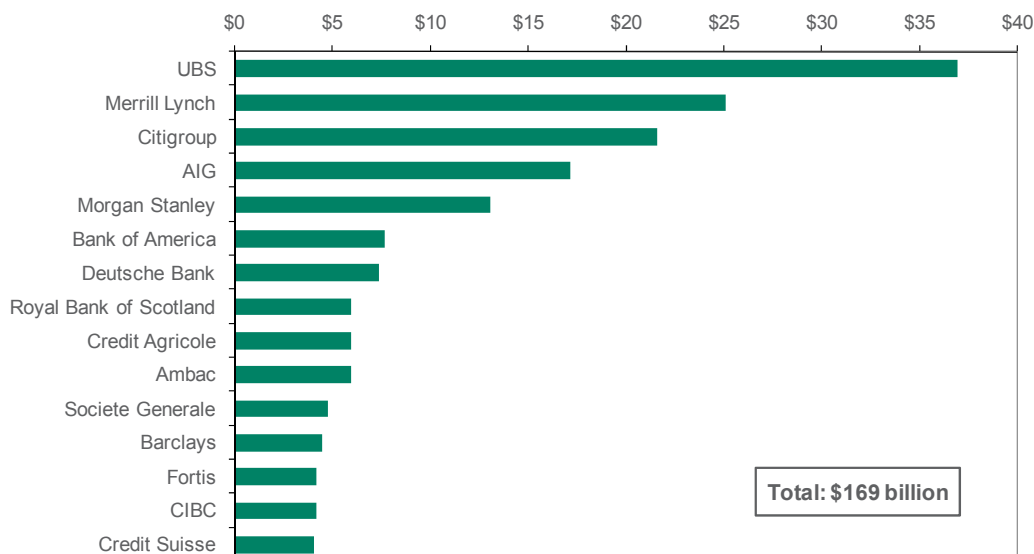
In mid-March, Bear Stearns got a short-term loan from JP Morgan to ease its “significantly deteriorated” liquidity position. The news came two weeks before the Fed’s scheduled Term Securities Lending Facility (TSLF) was set to come into effect, prompting speculation Bear Stearns couldn’t survive until March 27 without emergency funding. Its stock price declined on the news. More significantly, other financial institutions refused to trade with Bear Stearns as a counter-party, shutting off Bear’s normal liquidity sources, thereby creating a potentially fatal pinch.

Bear Stearns was among the biggest originators and owners of mortgage-backed securities (MBS) and had significant exposure to sub-prime mortgages. To get sufficient short-term liquidity they needed to use their MBS as collateral. But at the time, no one wanted to accept MBS on a short-term basis despite their longer-term intrinsic value, which is likely still substantial. Total failure was avoided when the Fed provided agreeable terms to help finance JP Morgan’s acquisition of Bear Stearns at arguably a heavily-discounted price.

This was a crisis of confidence rather than a fundamental crisis in our view. Because investors are able but simply not willing to lend to borrowers with significant MBS exposure, firms like Bear Stearns can be shut out even when liquidity is otherwise plentiful.

Note Bear Stearns didn’t collapse. Its assets and many business units will survive once merged with JP Morgan. Customers will remain whole and were never imperiled, though the same cannot be said for Bear Stearns stockholders. That is the nature of capital markets and another reason to never concentrate in a single stock or sector.

More broadly, the actual magnitude of asset write-downs by big Financials is much less significant than commonly believed. As Exhibit 3 shows on the next page, the approximate amount of asset write-downs is \$169 billion. This may seem a hefty figure, but in comparison to total US Financials assets, it’s a mere 0.7%.

Exhibit 3: Largest Asset Write-Downs

Source: *The Wall Street Journal*; company reports

A crisis in confidence is not trivial, but it is an issue of sentiment more than fundamental weakness. Such turbulence is painful and difficult to endure, but psychology can only rule so long before fundamentals regain primacy.

The Fed Innovates

Coincident to the Bear Stearns saga, the Fed executed a number of additional innovative measures to prevent systemic failure. In our view, these steps have been appropriate, timely, and potent.

One recent Fed innovation is the “Term Auction Facility” (TAF), a new tool the Fed implemented last December in response to liquidity concerns. Before TAF, banks had two short-term liquidity sources: the Fed’s discount window and each other. In recent months, inter-bank lending experienced turbulence, but many banks resisted borrowing from the Fed’s discount window because they believed it would signal weakness or desperation. Through TAF, banks can borrow for longer periods at lower rates without the associated stigma. Banks have taken advantage by borrowing \$130 billion over the five auctions held since December. (As of 03/31/08, there were \$60 billion of TAF funds outstanding.)

TAF is also a market-driven solution—providing short-term liquidity without nationalizing or seizing assets. Further, funds borrowed through TAF have no net money supply effect. The Fed doesn’t print money when lending through TAF, and the amount lent is offset with Treasury bond sales from Fed inventory. TAF loans don’t impact the budget deficit either—the Fed earns interest on the loans, so TAF lending is actually a source of Fed revenue.

The Fed also lowered overnight interest rates again, but more importantly created the Term Securities Lending Facility (TSLF) to provide financing directly to securities dealers. The Fed's TSLF could serve as an important source of backup liquidity for securities firms going forward. In our view, the Fed's recent actions are signs of central banking evolution to ensure system liquidity when needed most.

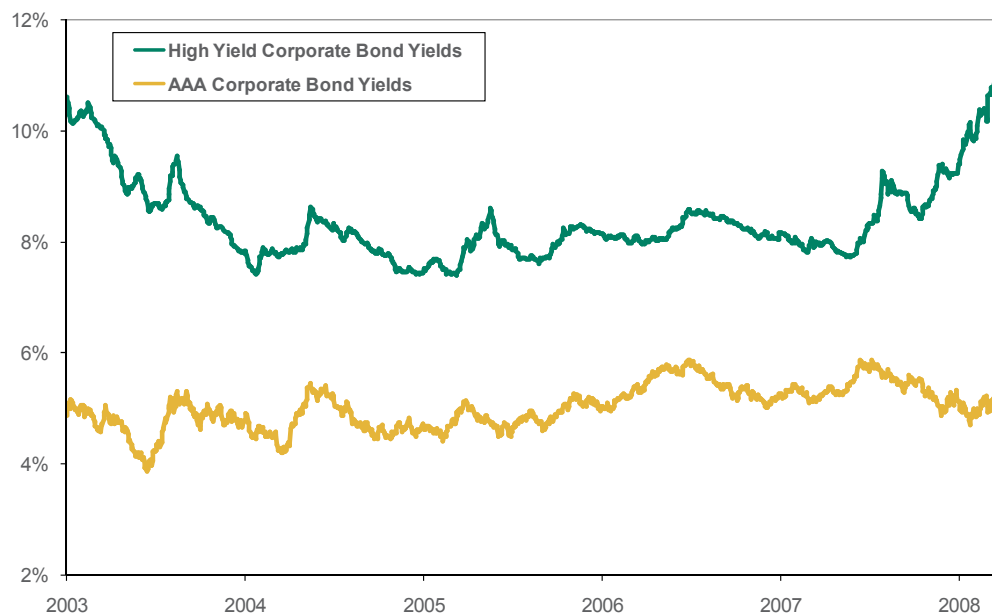
Appendix II: A Fundamental Shift

Size Matters

Large cap stocks regained leadership from small caps in 2007. We believe this shift will continue and anticipate large stocks' outperformance to become more pronounced in the period ahead.

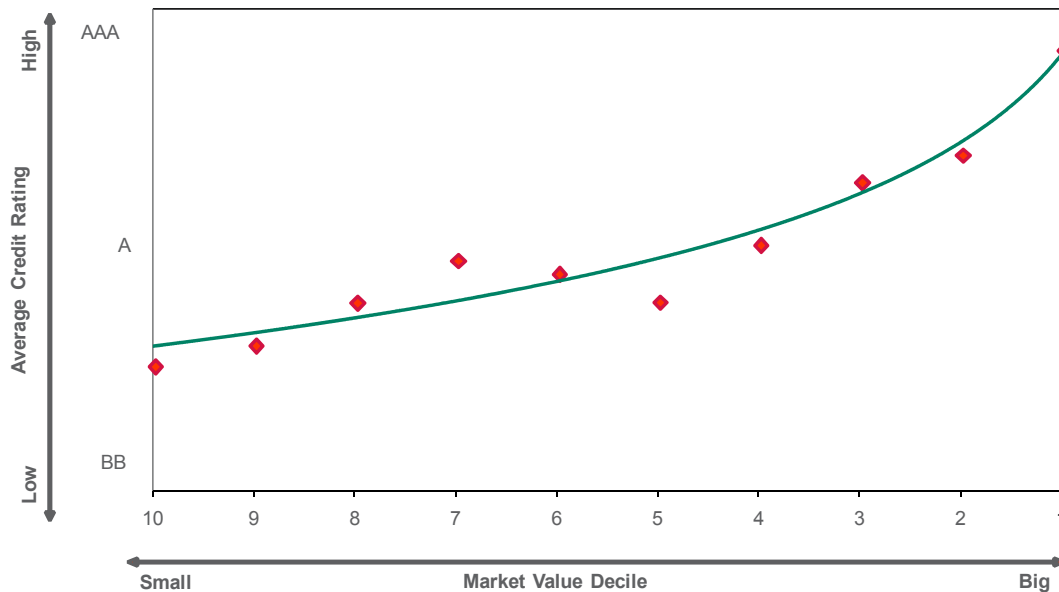
Today's credit environment dramatically favors large cap stocks. Though widely called a credit crunch, evidence shows this is a massive credit reallocation with more credit becoming available to larger, better-rated firms as shown in Exhibit 4. Though lower-quality or "junk" rates have risen recently, borrowing rates for better-rated firms are as low or lower than a year ago.

Exhibit 4: High Yield vs. AAA Corporate Bond Yields



Source: Thomson Financial Datastream; as of 3/31/2008. ML 7-10 Yr Corp High Yield B vs. ML 7-10 Yr Corp AAA.

Larger firms tend to carry better credit ratings, whereas most "junk" firms are smaller. The relationship is most extreme among the super caps—the very biggest firms—that overwhelmingly have the very best credit ratings, as shown in Exhibit 5 (on the next page). And big, better-rated firms comprise the majority of the market by size. So while some smaller companies may be feeling the pinch, the market overall has access to more credit than it did a year ago, just skewed heavily toward larger companies.

Exhibit 5: S&P 500 Market Value vs. Long-Term Credit Rating

Source: S&P Research Insight; as of 12/31/2007. S&P 500 Market Value vs. Long-Term Credit Rating

Overall corporate lending was up in Q4 2007 and is tracking to grow similarly this year, which would not happen in a true credit crunch. Greater access to capital for larger companies is fuel for expansion. This again is similar to 1998, when widening credit spreads favored large caps, which indeed led for the remainder of that bull market.

Bear in mind, stock markets are composed mostly of small cap stocks by number and relatively few large cap stocks. In fact, in a universe of nearly 25,000 global stocks, only 82 are larger than the weighted average market capitalization of the MSCI World Index (approximately \$81 billion as of 12/31/07). Though the minority by count, those 82 are so massive they dramatically raise the average. Thus, when big cap stocks lead, fewer companies will outperform the market, making it critical to correctly identify this style shift and adjust portfolios accordingly.

Interest Rates Favor Big Cap

Long-term interest rates remain benign globally, as illustrated by the 10-year US Treasury rate of 3.56% (as of 04/08/08). As said earlier, junk rates have risen but government and high-quality corporate rates are generally as low or lower than a year ago, and that should continue throughout 2008.

Taken together, stocks remain extremely cheap relative to bonds, as shown in Exhibit 6 (on the next page). Stock earnings yields remain above bond yields globally.

Exhibit 6: Global Earnings Yield-Bond Yield Spread

MSCI World Forward Earnings Yield, Bond Yield, and Spread	
MSCI World Forward Estimated Earnings Yield	8.41%
MSCI GDP-Weighted Bond Yield	3.50%
Spread	4.91%

Source: Thomson One Analytics, Bloomberg, IMF; as of 3/31/2008. MSCI World 10-year bond yield calculated using the GDP-weighted average of each constituent country's gov't 10-year yield.

This creates an environment ripe for stock supply destruction. Larger firms can still borrow cheaply and acquire competitors for cash or buy back firm shares. Buybacks and acquisitions, transacted totally or partially with debt or cash on hand, reduce outstanding stock supply and, all else being equal, when supply shrinks, prices rise. 2007 was another record year for M&A and buybacks. Exhibit 7 illustrates the largest share buybacks in 2007.

Exhibit 7: Top Ten Share Buybacks

Company	2007 Buybacks (in millions)
Exxon Mobil Corp	\$31,822
Microsoft Corporation	\$21,082
International Business Machines Corp	\$18,828
General Electric Co	\$12,372
Hewlett-Packard Co	\$11,899
The Home Depot, Inc	\$10,814
AT&T Inc	\$10,390
Transocean, Inc	\$10,259
Pfizer Inc	\$10,072
Cisco Systems, Inc	\$10,020
TOP 10 TOTAL	\$147,558

Source: Standard and Poors

Acquisition activity has also continued, but buyers have shifted from predominantly financial buyers (such as private equity firms) toward very large strategic buyers. For example, Microsoft continues to pursue Yahoo. Should the Microsoft-Yahoo deal go through, Microsoft has announced it will issue debt for the first time in its history. They would not do so if debt were not readily available and cheap for them. It would likely be AAA rated.

We have seen some supply increases of late, coming mainly from Financials firms seeking new capital by issuing shares. However, this is very different from precipitous supply growth leading up to and during 2000. Then, stock supply increases were caused by stock-based mergers and a rash of IPOs driven by euphoric sentiment. Stock issuance today is much more measured with capital being raised for more temporal reasons. And the new issuance is concentrated in

Financials, a sector we don't expect to outperform this year. Other categories we do expect to outperform, like Energy and Materials, continue to experience shrinking stock supply.

Because the favorable earnings yield-bond yield gap continues, particularly for larger firms, we anticipate companies will continue conducting share buybacks and strategic acquisitions. On balance, stock supply should continue shrinking or at the very least not swamp demand, particularly in stock categories we anticipate will outperform this year.

Appendix III: Overblown Worries and Real Risks

Recession? Not So Fast

In our view, risk of a protracted recession remains low. While it's true industries like US housing and autos are contracting, this doesn't necessarily translate to other large economic areas like technology, industrial production, pharmaceuticals, retail sales, and so on. Even in the best of times not all areas move forward together. What matters most is the sum total of all economic activity, not narrow areas.

The simplistic definition of a recession is two consecutive quarters of negative GDP growth. While America's Q4 2007 GDP growth was 0.6%, the previous quarter was 4.9%, well above average. Economies regularly slow, only to pick up again. GDP growth similarly slowed significantly in Q1 2007 and picked up in the middle of the year. A single negative quarter or even a mild recession could happen, but on balance we expect 2008 to be another year of economic growth for the US.

More importantly, America comprises only 26% of world GDP today. The International Monetary Fund (IMF) recently revised global GDP expectations down to 3.7%—not scorching hot, but not bad. Perhaps these predictions will prove true, perhaps not. Whatever the final outcome, it is clear nothing like a new “Great Depression” is at hand. While many fear a US slowdown will drag the global economy lower, in our view it is far more likely global economic growth will support the US through this period. For example, earnings from large, multinational US companies such as Wal-Mart, Caterpillar and Coca-Cola are surpassing earnings expectations on the wings of robust foreign sales growth.

But what impact can a slowing housing sector have on American growth? To assess the potency of this risk, we review the traditional formula for GDP:

$$\text{GDP} = \text{Consumption} + \text{Investment} + \text{Government Spending} + \text{Net Exports}$$

In the US, investment has contracted lately due to a severe decline in residential construction. But residential real estate, as shown in Exhibit 8 on the next page, is under 5% of total US GDP.

Recall during 2000 to 2002, a period featuring a bear market and brief recession, housing prices were quite strong. A strong housing market did not keep the global economy out of recession then, yet many believe housing weakness today must cause recession. Strong housing is simply not a panacea for economic woes, and we believe weak housing won't have the impact many currently believe.

Exhibit 8: Components of GDP

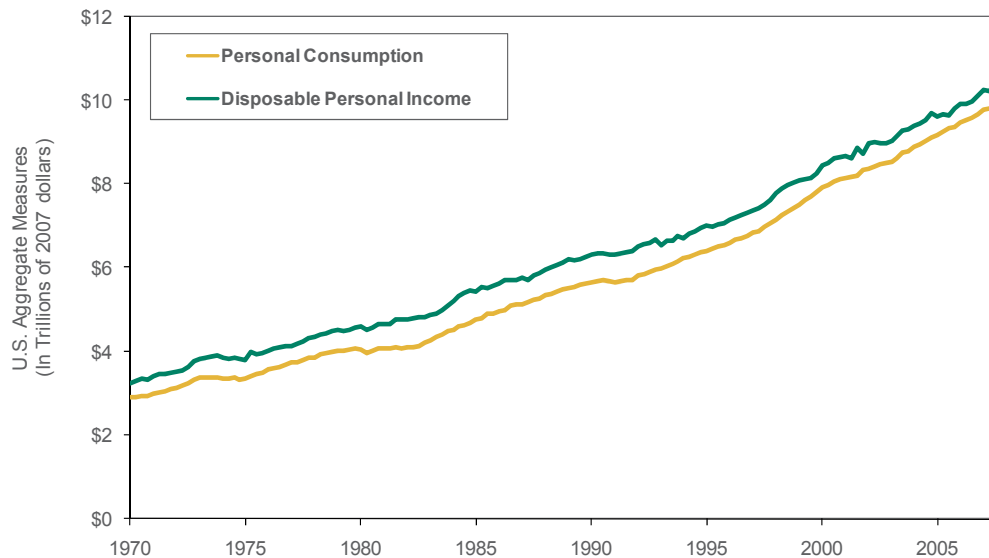
GDP Component	Weights
Personal consumption expenditures	70.3%
Durables	7.8%
Non-Durables	20.5%
Services	42.0%
Gross private domestic investment	15.4%
Nonresidential	10.7%
Residential	4.6%
Private Inventories	0.1%
Government expenditures/investments	19.4%
Net exports of goods and services	-5.2%
Exports	11.8%
Imports	-17.0%

Source: U.S. Bureau of Economic Analysis; as of 12/31/2007

Although residential housing is weak, we should not ignore the other 95% of US GDP which, in our view, should post marginally positive to strong gains this year. Consumer spending growth is leveling, not contracting. Business investments are expected to add growth. Government spending is accelerating. And exports, at over twice the size of residential construction, should continue growing.

Housing's Wealth In-Effect

Many wrongly fret US housing's decline will negatively impact future consumer spending. This is commonly referred to as the "wealth effect," where falling asset prices diminish consumer spending power. If this effect exists at all, it's widely overstated. Changes in residential real estate values have had a miniscule impact on spending historically. Consumer spending is much more closely linked to personal income, which has continued to grow, as shown in Exhibit 9 (on the next page).

Exhibit 9: Consumption vs. Disposable Income

Source: Thomson Financial Datastream; as of 12/31/2007

Another way to consider this is a \$1 increase in disposable incomes increases consumption by anywhere from \$0.60 to as much as \$0.95, as shown in Exhibit 10. However, a similar increase in housing wealth may increase spending by just \$0.02 to, at most, \$0.07. Housing wealth just doesn't impact personal consumption as much as other factors.

Exhibit 10: Marginal Propensity to Consume

A \$1 Increase In:	Typically Increases Consumption By:
Financial Wealth (stocks, bonds, etc.)	\$0.02 - \$0.05
Housing Wealth (home equity)	\$0.02 - \$0.07
Disposable Income	\$0.60 - \$0.95

Source: Congressional Budget Office; Nat. Bureau of Econ. Research, IMF, Fed. Reserve, Nat. Assoc. of Realtors

If the wealth effect were real, markets would theoretically never bottom. Bear markets would forever curtail consumption and create a circular, self-fulfilling prophecy. Even anecdotally we know this to be untrue. Bear markets have occurred repeatedly in every asset class only to see spending hit new highs and bull markets eventually resume. Self-fulfilling prophecies simply don't persist in capital markets—if they did we'd only get perpetual rises or falls.

In addition, if the wealth effect were significant, consumer sentiment would be a leading market indicator, but it's not. It's been demonstrated repeatedly that consumer sentiment is at best a coincident if not lagging indicator of stock market performance.

The Real Risks

We constantly monitor a variety of risk factors that have the potential to negatively affect stock markets. These include monetary policy, fiscal policy, geopolitics, and new regulation, to name a few.

In our view, one of the real risks threatening capital markets today is government overreaction to recent financial sector turmoil, leading to increased legislative risk aversion. As many demand government action on weak housing and struggling Financials, political rhetoric has increased, yet action remains minimal. Because this is the fourth year of a president's term (read more in Appendix IV) the risk of aggressive legislation still remains low.

Treasury Secretary Paulson recently presented recommendations to overhaul America's financial regulatory system. We view his recommendations as a mixed bag. In general, we view an "overhaul" as veiled language for "lots of new regulation," which could be a negative.

However his proposals taken at face value would streamline and reduce regulatory bodies, which could be favorable. The UK underwent an overhaul in 2001, which we view as having generally positive results. (The UK moved to one regulatory body, which is not currently proposed for the US, though Paulson's proposal could trim the regulatory system overall.) Note: The UK's generally smooth overhaul did not prevent the run on Northern Rock nor its subsequent nationalization. No amount of regulation can prevent future mishaps. The nature of markets, necessary for optimal growth, includes risk.

On the negative side, Paulson calls for forming new bodies and increased Fed oversight of investment banks. We would fear negative, unintended consequences as government bodies grab an increasing share of oversight.

However, with national elections looming there's not much chance anything material passes this year. Additionally, if the plan survives the political process, it will likely resemble nothing like the current proposal, so it's hard to handicap the outcome now. We view the risk of aggressive new legislation as somewhat higher today, but still unlikely because there is little incentive for politicians to pass potentially divisive new regulation in an election year.

Appendix IV: The 2008 Election

The Effects of Political Power Changes

As a presidential election approaches, Fisher Investments remains politically agnostic, preferring neither party because we believe both parties' political rhetoric doesn't accurately portray American political reality. But most people do, making politics a critical market driver, particularly of sentiment. Therefore, it's important to impartially handicap elections and their market impact.

History shows fourth years of presidential terms are typically favorable for stocks and almost always positive. Since 1928, the S&P 500 declined only three of 20 election years. In brief, though political rhetoric is heightened, fourth years are typically legislatively light. Because historically the president's party usually loses relative power in mid-term elections, the risk of legislated wealth and/or property-rights redistribution tends to lessen during term back halves, leading to more uniformly positive returns. (For example, Paulson's proposed regulatory overhaul mentioned in Appendix III may be enacted eventually, but the earliest that may happen is after this election next year.) Third years are historically best with an average 19.3% return, but fourth years have a fine 13.3% average return.

We believe 2008 should follow the trend, though how positive the year is may depend on November's winner. Simply said, years Republicans win have had more consistently above-average returns than years Democrats win. But that flip-flops for inaugural years. Democrat inaugural years have been markedly and consistently better than Republican inaugural years. It may surprise many that only three of the last 10 Republican inaugural years had positive returns—Reagan's second term, GHW Bush's one term and GW Bush's second term. Overall Republican inaugural years average a -0.4% return.

Party switches add another dynamic amplifying this effect. Years the presidency switched from Republican to Democrat, as this year may, average 5.8%—below average but still positive. Though often lackluster, there still hasn't been a negative fourth year switching Republican to Democrat since 1932—which we can easily blame on the Great Depression.

Exhibit 11: The Effects of Party Changes

	Election Year	Inauguration Year
President Change		
From Republican to Democrat	5.8%	20.7%
From Democrat to Republican	13.2%	-6.6%
Congressional Change (since last presidential election)		
From Republican to Democrat	4.8%	24.6%
From Democrat to Republican	24.7%	9.1%
Changes in Both		
From Republican to Democrat (1932)	-8.9%	52.9%
From Democrat to Republican (1952 & 1980)	25.5%	-3.0%

Source: Global Financial Data; as of 12/31/2007, average return

Note Exhibit 11. Though party-switches won by Republicans tend to average better during election years, their inauguration years are worse, averaging -6.6%, and far worse than the 20.7% inauguration year average for Democrat-won switches. You see the same pattern with congressional power changes or when both the presidency and Congress change power.

We see the reason for this pattern as the fundamental nature of politicians and investors' perception of them. Republicans are stereotypically seen as being pro-big business, pro-capitalism and anti-regulatory supporters of free markets. Democrats are viewed as more anti-business and anti-rich. During election years, political campaigns emphasize these images to cater to their core supporters' views, which vacillate slightly from cycle to cycle. In America, unlike parliamentary countries with more than two major parties, victory is not determined by Republicans or Democrats. Rather, elections are determined by the changing whims of the large bloc of Independent voters who readily switch from party to party based on views du jour and impressions of individual candidates. But when a Republican wins, markets tend to be more positive in the election year in expectation of a more business-friendly government, and when a Democrat wins, returns are more lackluster from fear of an anti-business government. This, at least, has been the common experience.

However, politicians rarely follow through on campaign rhetoric. The instant a president is elected he begins thinking either of getting re-elected or his legacy if he wins re-election. (We use "he" because presidents have always been male and at this point Obama appears likely to us to be the Democratic nominee, so it will likely again be a "he.") If the president does what he said he will do, he makes his base happy, but in the next election they'll mostly support him anyway, no matter what. They have nowhere else to go. He needs marginal, opposition voters to get re-elected, but making his base happy makes them unhappy. So he almost never follows through on the bulk of campaign promises.

So, markets anticipating a wave of pro-business legislation and deregulation from the Republican are disappointed come inaugural year. Conversely, markets expect anti-business legislation from

the Democrat, but are pleasantly surprised when nothing much materializes. Therefore, returns have been better for Republicans in election years and worse in inauguration years, and the reverse has been true for Democrats.

Who wins matters, but so does the margin of victory. Historically, the bigger the margin of victory, the better the election year return. A bigger margin generally means the winner is more obvious earlier on, easing uncertainty. Closer races heighten uncertainty and dampen returns as you can see in Exhibit 12.

Exhibit 12: Presidential Margin of Victory vs. Stock Returns

Margin of Victory	Number of Occurrences	Election Year	Inauguration Year
>60%	3	22.7%	-12.5%
>55%	8	16.8%	3.3%
>50%	14	16.3%	5.4%
<50%	6	6.3%	11.3%
<45%	2	9.3%	7.9%

Source: Global Financial Data; as of 12/31/2007

Almost perfectly, the inverse has been true in inauguration years. Bigger margins of victory lead to worse returns in the inauguration year while slimmer margins yield better returns. Again, we believe this is because markets like election year winners but are disappointed the following year when the winner turns out to be merely a politician. We know many of you are Republicans and Democrats in your hearts and may find this type of analysis annoying, even insulting. But the statistical validity supporting our arguments is very firm, and we urge you to keep an open mind on the degree to which politics in America does not work the way it is conventionally perceived by citizenry and media.

Another little known but true fact: In history Democrats have won the presidency often but rarely big. Since the birth of the Republican Party with its first national nominee in 1856 (John C. Fremont from California—a real nut job of the first order, in our view), Democrats not named Franklin Roosevelt have won a popular majority of the vote only twice—Johnson in 1964 and Carter in 1976. (Neither Clinton nor Kennedy did it!) However, when Republicans win, it's usually (but not always) with a big popular majority. Since the history of the S&P 500, Republicans winning more than half the popular vote have included Coolidge, Hoover, Eisenhower twice, Nixon once, Reagan twice, GHW Bush, and GW Bush once.

This entangles the margin of victory effect with the Republican versus Democrat effect. But you can still see the margin of victory effect in the few times Democrats have won big. For example, Carter won big in 1976 and stocks returned 23.9%. But the inaugural year return was -7.2%, bucking the normal trend of Democrat inaugural years being strong.

In our view, if the presumptive Republican candidate Senator McCain wins this year, we should see a good and markedly improving 2008 but possibly increasing market risk next year. However, if either Senator Obama or Clinton wins, returns could be positive but more lackluster this year, but be better next.

The Oddest Election

Who is more likely to win? (Decades back Ken was formally trained in House, Senate, and presidential race analysis by one of the two parties. This was before we adopted our current framework of political analysis. But ever since we've been very vocal about political forecasts and, though not perfect, generally more right than wrong overall, particularly for presidential elections.) We can't recall an election this odd or difficult to handicap for a very basic reason. Normally, presidential elections are like 15-round heavyweight boxing matches—tests of stamina, conditioning and skill. It comes down to who wants it more, who is the better campaigner, and who makes fewer mistakes. Usually the better boxer/campaigner wins. There can be lucky blows, but the better boxer is usually the one landing them. You can analyze elections like a boxing match in these three ways.

First, with two greatly-skilled and equally-matched heavyweight opponents, it is very hard to tell who has the advantage. Doing so requires analysis of micro-tactics that often prove false. Second, in a mismatch where one boxer is much more skilled than the other, predicting the outcome is easy for any trained analyst, and the better boxer almost always wins. Third, with two really terrible boxers, neither skilled worth a darn, the winner is even harder to predict than the scenario with two equally-skilled great boxers because the outcome is almost purely based on lucky blows and stupid random mistakes.

Usually when one party had a bad candidate, the opposition party candidate has been skilled. The mismatch made the outcome pretty easy to see. But in our view this election will have by far the two weakest candidates since 1952. Anything could happen and probably will.

For example, the 1960 Kennedy/Nixon campaign had two skilled boxers and the outcome was hard to predict. Both candidates were young, but very skilled, experienced and competent in their opponent's areas of strength. But in 1964, Barry Goldwater was a bad candidate—the mismatch made Johnson's win easy to forecast. In 1972, McGovern was a bad candidate and Nixon skilled, so the outcome was predictable. The same was true in 1996 with Dole as a bad candidate and Clinton skilled. But this election is like Goldwater running against McGovern—two weak candidates in a comedy of errors.

What makes them so weak? Normally, US senators make poor presidential candidates. One of our general rules of thumb is when running a senator against a dead guy, the dead guy wins. Americans have sent a candidate directly from the Senate floor to the White House only twice in over a century, the last being John F. Kennedy. The way to elect a senator is to have two run against each other.

In our view, Senator McCain has a slim structural advantage but so slim it doesn't matter. (Bear in mind, this is not an endorsement for any candidate.) And since McCain is still a weak candidate in our view, that slight structural advantage will be less important than lucky blows and stupid mistakes.

Republicans tend to run candidates who've been around the national track before or have been considered a likely presidential candidate four years earlier. For example, 1996 candidate Dole had been a vice presidential candidate in 1976. Reagan ran in 1976, didn't get the nomination, but was the 1980 nominee. On the other hand, Democrats tend to favor candidates who were relatively unknown during the previous national election and weren't thought of as a likely candidate four years earlier.

Ken recalls seeing Jimmy Carter on *What's My Line* in 1973. For those not old enough to remember, the TV show blindfolded four celebrities who interviewed a guest and tried to guess who they were. When Carter appeared, the celebrities could figure out Carter was the governor of a southern state but couldn't figure out who he was. This was just three years before Carter won the presidency! Likewise, in 1984 few would have anticipated Dukakis as the 1988 nominee. Or Clinton in 1992. (We believe Richard Nixon in 1989 was the first person to suggest Clinton as the likely 1992 nominee. People regularly underestimate Nixon's election prowess, but he was near clairvoyant on elections and ran on a national ticket more often than anyone other than FDR.)

Additionally, longer- and better-known candidates (McCain or Clinton as opposed to Obama) have difficulty moving their positive polling numbers up much and their negative polling numbers down—too much is already known about them. Opinions about them are deep-rooted. Newer and lesser known candidates can swing their positives up easier—but their negatives swing easier too, which is why Republicans tend to favor candidates they know and Democrats tend to fall in love with candidates they don't know. (The exception for both parties is a sitting or immediately past vice president has always been given the nomination in recent times if sought, like Nixon, Humphrey, Mondale, and GHW Bush.)

This is what we have this time. McCain ran in 2000 and is well known. It is hard to get too excited about him and hard to get his negatives much higher from here. He may be a fuddy duddy, but he is a well-known fuddy duddy. Obama as a newcomer is a blank canvas. If he paints himself well, he can win. If McCain can paint Obama negatively, McCain likely wins. One problem for Obama is people hate losses much more than they like gains. If McCain can successfully go negative against Obama with non-ideological independents, it would overpower Obama's ability to paint himself positively, and that would be the election.

But what about Senator Clinton? We presume Clinton will not be the nominee. Obama supporters would feel cheated as he will have more delegates at the convention and a higher percentage of the popular vote. Democrats like to fall in love with a candidate, not have a convention brokered by power bosses. If Clinton is the nominee, it will likely rip out the heart of the Democratic party. That too would provide structural advantage to McCain.

And it is because of the Democratic tendency to fall in love with a new name—effectively voting with their hearts—and Republicans to rely on an old, well-known name, combined with people hating losses more than liking gains, that Republicans won nine of the 15 elections since FDR.

With them starting out polling equally nationally, and Obama's call for change not putting him ahead at this point, the advantage is slightly McCain's since his polling numbers will be difficult to push much. But a few lucky blows in a negative campaign should take Obama's positives down and raise his negatives as the election nears. Remember, the outcome will be determined by Independents, not ideological Republicans or Democrats. And Independents tend to vote more based on what they think about the candidate, rather than the candidate's ideology or political stance (although they rarely admit that).

Obama, as the newcomer, is also prone to more scrutiny. His supporters compare him to JFK—both eloquent public speakers, young and striking. Both were/are junior senators. And recall JFK was the last senator sent directly to the White House. Here, the comparison bodes well.

However, differences are huge. JFK had prior national political experience as a three-term congressman, eight years in the Senate, and was a genuine war hero and military hawk who could carry defense issues against Richard Nixon. Kennedy also had his father's backing and money at a time before political campaign finance laws. Big Joe Kennedy's "walking around" money was a decisive tactical tool no one has effectively deployed since then.

By contrast, Senator Obama was only four years ago an Illinois state senator with no national experience. He is not a war hero and he can't take a military hawk position against McCain. JFK was for tax cuts whereas Obama pledges tax hikes. JFK as president architected America's Vietnam escalation, a CIA-backed coup in Iraq, the Bay of Pigs Invasion and the Cuban Missile Crisis. And Kennedy had no material domestic policy agenda that could be construed as anti-business. (He actually had very little domestic policy agenda.)

Obama is markedly the reverse in all these matters—heavy on domestic policy and a foreign policy dove. Ironically (members of both parties don't want to see this), Kennedy and Reagan were, other than age and party, actually closer to each other in actions than either were to other presidents. Funny—but true.

Also note Kennedy barely won a minority victory back when most voters identified either Democrat or Republican. Vastly fewer as a percentage saw themselves as Independents. Elections today are determined by Independents. Both Republicans and Democrats are likely to support their candidate with scant crossover, but Independents comprise a big 39% of the electorate. Whoever wins a majority of Independents wins. McCain is viewed as slightly left-of-center of Republicans, and Obama is viewed as slightly left of center of the Democrats. For this reason, Senator McCain naturally aligns slightly more closely ideologically with Independent voters.

Further, this is the first time since Adlai Stevenson in 1956 the Democratic candidate hasn't been strong enough to lock up the nomination well in advance of the party convention. (There have

often been votes for other candidates at conventions as a show of loyalty. Adlai Stevenson got delegate votes when Kennedy and Johnson won their nominations. But Kennedy and Johnson both still had the nomination locked going in.) In 1968, the Democratic party was also similarly split for much of the primary season, but going into the convention the process was completely controlled by Humphrey. Obama's inability to knock out Clinton must be seen as a sign of his weakness. Every other nominee for both parties has been able to pull this off for over 50 years.

Obama has a decided money advantage now over McCain. But that doesn't help much after the conventions when both candidates are dependent solely on party money by law, and they will be relatively similarly suited. If the perception of the economy remains weak by election time, that is a structural advantage for Obama. If not, for McCain. Obama and the Democrats have some advantage in running against the negative image of President Bush. But McCain has the advantage that he, too, in fact, did run against Bush in 2000, and he will claim had he been the nominee, folks would be happier now and positive toward their president.

Still, all this doesn't mean much. Obama and McCain are both much worse campaigners than past winning candidates. All this together in our estimation gives McCain only a very slight structural advantage, which he could easily squander. At this point we don't have a prediction for the outcome of this election—the first time ever we have not made a forecast. You should not hold to any strong forecast, regardless of your ideology or current views, at least until much later after the comedy of errors plays out a bit.

We may have some early indication of how the candidates will fare. Republicans typically tend to do a bit better on Election Day than the polls immediately before the election indicate. If they were polling dead even just before Election Day, bet on the Republican by a hair. Republicans also tend to gain from September 1st to November. Typically, to win the Democratic nominee will need a fairly significant national polling margin, perhaps five percentage points or more heading into September. If Obama can accomplish that by building his positive polling numbers between now and then, he can win. If he can't by then, we think he probably will lose. Of course, serious errors late in the election by either side could throw all this out the window.

Congressional Elections

With so much attention on the presidency, it is easy to overlook congressional elections. But congressional balance of power is also important to future political outcomes.

The structure of 2008's congressional elections for both chambers favor the Democrats. Republicans have substantially more vacant or retiring seats in the House and many more Senate seats to defend than Democrats. Generally, the party with fewer seats to defend gains ground because the opposing party must spend its resources defending seats it already holds instead of fighting for new ones.

Exhibit 13: 2008 Congressional Elections

	House of Representatives	
	Democrat	Republican
Incumbent Seats	225	172
Vacant Seats	9	29
	Senate	
	Democrat	Republican
Incumbent Seats	12	18
Vacant Seats	0	5
Total Contested Seats	12	23

Source: CQ Politics

While we expect Democrats to gain seats in 2008, a landslide seems unlikely in our view. Instead, the balance of power in Congress should remain fairly tight, with neither side holding a Senate super majority.

No matter which party prevails in the race for the White House or Congress, we still believe 2008 should be, on balance, positive for stocks. How positive the year is could depend on how the election shapes up.

ⁱ Thomson Financial Datastream

ⁱⁱ Bureau of Economic Analysis, as of 12/31/2007

ⁱⁱⁱ Thomson Financial Datastream

The MSCI World Index measures the performance of selected stocks in 23 developed countries and is presented net of withholding taxes and uses a US tax basis. The S&P 500 Index measures the performance of 500 selected stocks in the United States. Past performance is no guarantee of future results. A risk of loss is involved with investments in stock markets.